

VI ENVIRONMENTAL, SOCIAL, AND GOVERNANCE

EnCap's Approach to ESG

EnCap has a long history of responsible investment practices that are reflected in the way the Firm has conducted business for over thirty years. The Firm is guided by its responsibility to its 350-plus investors, many of which have ESG mandates. EnCap believes in an ongoing commitment to excellence across all areas of its business, including ESG stewardship. Sound ESG practices allow the Firm to mitigate risk and build resilient businesses, creating long term value for EnCap's investors. ESG standards continue to evolve, and the Firm is committed to staying abreast of these changes and prioritizing matters that are consistent with the Firm's ideals and actionable by its portfolio companies to deliver best-in-class financial and ESG performance.

<u>Environmental</u>	<u>Social</u>	<u>Governance</u>
• Promote the importance to EnCap portfolio companies of being responsible stewards of air, land, and water • Encourage EnCap's upstream companies to monitor and reduce emissions • Invest in a cleaner energy future via our Energy Transition companies • Prioritize innovative technologies and practices to improve environmental performances where feasible	• Attract talented diverse employees and provide them an environment to grow and succeed • Foster an inclusive and respectful work environment • Strive for best practices regarding health and safety in company operations • Partner with communities by providing jobs and engaging with stakeholders • Support philanthropic organizations that employees are passionate about	• Commit to conducting EnCap's business with integrity, honesty, and transparency • Manage risk – a core of EnCap's investment process, the Firm controls the board of virtually all portfolio companies • Review ESG matters at quarterly board meetings • Collect standardized ESG metrics from portfolio companies to direct areas of focus and assess improvement

Oversight and Portfolio Assessment. EnCap's commitment to integrating sound ESG practices begins with a strong foundation in governance. The Principals have ultimate oversight over the Firm's responsible investing efforts and set the tone for the way the Firm conducts its business. The Principals work directly with Sophia Friesse, Head of ESG, who is responsible for enhancing and executing EnCap's ESG program across the Firm and its portfolio companies.

At the portfolio company level, EnCap controls virtually all of the boards and the capital of its portfolio companies. Board control provides EnCap with direct oversight over material decisions and policies, including how its respective companies address ESG considerations. EnCap and its management teams evaluate ESG-related risks and opportunities throughout the life cycle of investments, from opportunity capture to development to monetization. EnCap understands the importance of being good stewards of upstream properties in maximizing the ultimate value of an exit, particularly in the current market where

acquirors are focused on the environmental attributes of potential assets and the impact on their pro forma environmental reporting.

In order to closely monitor portfolio company ESG performance, EnCap has routine dialogue with its management teams and mandates ESG updates at board meetings. Additionally, the Firm requires every portfolio company to complete a comprehensive annual ESG questionnaire to supply data on a wide range of performance metrics. Currently, EnCap strives to collect information spanning the following key areas:

- Scope 1 emissions
- Methane emissions
- Flared gas
- Number of spills
- Freshwater usage
- Water recycled
- Water consumption
- Diversity statistics
- Safety incidents
- ESG-related policies

The Firm's goal is to identify portfolio trends and potential reporting, policy, or performance gaps to inform potential improvement opportunities. While the quality of EnCap's data continues to develop, the Firm believes a standardized questionnaire enhances awareness of portfolio companies' impact and allows for measurable performance. Importantly, the data that is collected from each portfolio company is utilized to communicate results to EnCap's investors via its Annual Sustainability Report. This report was issued for the third consecutive year in 2022.

Policies. EnCap recognizes its responsibility to its stakeholders and upholds a culture that promotes strong ethics, honesty, and integrity. The Firm maintains a Compliance Manual and Code of Ethics and ESG Policy, which serve to help protect the Firm's business and reputation and to guide employees in their actions. The Compliance Manual and Code of Ethics is reviewed by EnCap's Chief Compliance Officer, Bobby Haier, semi-annually for updates regarding changing regulation or best practices. EnCap employees are required to acknowledge their compliance with these policies semi-annually. In addition, Mr. Haier works closely with ACA Group (a leading governance, risk, and compliance firm) to administer EnCap's compliance program and navigate regulatory developments. Finally, EnCap's Annual Sustainability Report, as well as other public statements made about ESG, are reviewed by Mr. Haier, the Firm's Chief Financial Officer (Craig Friou), and the Principals.

Cybersecurity. Shamil Zuberi, Chief Information Officer, is responsible for developing and managing EnCap's information security and resiliency programs. Mr. Zuberi works with the Chief Financial Officer, the Chief Compliance Officer, and the Principals in reviewing cybersecurity policies and procedures and refining EnCap's comprehensive incident response plan. Each year, Mr. Zuberi conducts a gap analysis and prepares a roadmap for continuous improvement to the Firm's information technology infrastructure. EnCap also performs regular risk reviews and vendor assessments to prepare the Firm for potential cybersecurity threats. EnCap partners with a cybersecurity firm that provides 24/7 security operations center services and monitors all information technology assets using artificial intelligence and behavior patterns. The Firm also conducts yearly cybersecurity assessments on portfolio companies based on the National Institute of Standards and Technology cybersecurity framework.

Employee Well-Being. EnCap believes in a culture that is inclusive and respectful with no tolerance for discrimination or harassment. The Firm takes pride in its people and their long-term success, providing

opportunities to keep them engaged and mature professionally. EnCap hires individuals who the Firm believes have the capability and drive to develop new skills, broaden relationships across the organization, and benefit performance for investors. In order to attract leading talent, EnCap offers a range of benefits aimed at supporting its employees, including a retirement savings program, fitness program, flexible spending accounts and parental leave to care for a newborn child or for placement of child for adoption or foster care for up to 16 work weeks.

Philanthropy. Giving back has always been a core value of EnCap’s culture, and the Firm actively encourages employees and portfolio companies to further engage with their communities. EnCap supports its employees’ pursuit of causes they are passionate about, whether through volunteering or making charitable donations, and many employees have become heavily involved in community work, including by serving on boards or in similar leadership positions. As such, individual employee community work adds a meaningful amount over and above what is reported at the EnCap level. To support the organizations its employees are passionate about, EnCap offers a financial donation matching program for most employees. Additionally, the Firm has a Charitable Action Committee that organizes EnCap Engage events for its employees to work together and serve a local charity as well as assist the non-profit organization in its annual budget. The Charitable Action Committee actively promotes these events internally by encouraging participation and providing summaries of their impact.

Portfolio Company Initiatives and Investments. EnCap seeks to partner with like-minded management teams, including as it relates to responsible stewardship of upstream properties and instilling cultures that support such efforts. The Firm expects all of its portfolio companies to manage their respective businesses in a manner that protects and supports the communities and stakeholders in which they operate. The Firm is focused on ensuring responsible development across its portfolio and fully recognizes that potential acquirors of at-scale businesses are highly focused on the environmental attributes of assets being purchased.

In Section VIII – “Selected Transaction Summaries”, some of the initiatives and investments of each portfolio company are highlighted as part of the broader investment summary. Below is an illustration of some of the technologies and best practices that the Firm’s portfolio companies are actively deploying to mitigate the environmental impact of responsible operatorship:

<u>Drilling & Completions</u>	<u>Facility Design & Operations</u>	<u>Emissions Monitoring</u>
• Electric Frac Fleets: Utilize turbines powered by in-field gas as opposed to diesel to reduce emissions and costs • Cube Development: Minimizes surface disturbances, increases safety, and centralizes infrastructure • Frac Water Recycling: Conserve freshwater and reduce need for disposal	• Vapor Recovery Units: Remove vapors from crude oil or distillate, reducing fugitive emissions and increasing sales volumes • Weighted Thief Hatches: Help prevent emissions from storage tanks • Pipeline Takeaway: Establish before completing wells to reduce flaring	• Continuous Monitoring: Place cameras at wellsites to provide real-time emissions data • Leak Detection & Repair: Monitor sites for leaking components • Aerial Monitoring: Utilize LiDAR cameras placed on drones to detect fugitive emissions